

Let's say you are accepted to two schools, University A and University B. University A is an out-of-state school that everyone knows, and that you have liked for some reason since you were young. It is considered a good school but not an "elite" university. University B is an in-state school, and unless you live in the state, not too many people have heard of it. You love University A, but it will leave you with \$90,000 in student debt by the time you finish. You don't really care about University B, but it will leave you with only \$15,000 in student debt when you finish. I hate to crush your dream of wearing a sweatshirt that says "University A" while you walk around the campus of University A, but in all likelihood, going to that school is a terrible decision.

Here are some reasons why choosing the "best," but most expensive, school can be a financial nightmare:

Employers do not care about the school you went to. A study conducted by the National Bureau of Economic Research found that whether a person goes to an "elite" school or a "moderately selective" school made little to no difference in the person's earnings.¹³ I have a bachelor's degree and two master's degrees from three different schools, and I have been to zero job interviews where anyone has cared which schools they came from. Your future employer is only going to care that you have a degree, not where it's from.

Four-year degrees are not worth as much today. Although college graduates typically make more than those without a degree, an undergraduate degree is not as valuable as it once was. More people today have bachelor's degrees than in the past. Employers are not going to be blown away when you tell

13 Stacy Berg Dale and Alan B. Krueger, "Estimating the Payoff of Attending a More Selective College: An Application of Selection on Observables and Unobservables," *Quarterly Journal of Economics*, 107, no. 4 (November 2002): 1491-1527.